



Market Monitor

No.33 – November 2015

www.amis-outlook.org

*The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](http://www.amis-outlook.org). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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World Supply-Demand Outlook

While international prices of all four AMIS commodities rose slightly in October, they remained below the corresponding period last year. Weaker prices reflect large export availabilities in 2015/16 in the face of generally frail import demand, especially with regard to wheat and maize.

	From previous f'cast	From previous season
Wheat	▲	▲
Maize	▼	▼
Rice	▲	▼
Soybeans	▼	▲

▲ Easing ■ Neutral ▼ Tightening

WHEAT	million tonnes				FAO-AMIS		
	USDA		IGC		2014/15		2015/16
	2014/15 est.	2015/16 f'cast 9-Oct	2014/15 est.	2015/16 f'cast 29-Oct	2014/15 est.	2015/16 f'cast 8-Oct	2015/16 f'cast 5-Nov
Production	725	733	721	726	733	735	736
Supply	919	945	908	927	921	937	939
Utilization	707	716	707	718	713	727	728
Trade	165	161	153	150	156	150	150
Ending Stocks	212	228	201	209	203	206	207

MAIZE	million tonnes				FAO-AMIS		
	USDA		IGC		2014/15		2015/16
	2014/15 est.	2015/16 f'cast 9-Oct	2014/15 est.	2015/16 f'cast 29-Oct	2014/15 est.	2015/16 f'cast 8-Oct	2015/16 f'cast 5-Nov
Production	1009	973	1011	970	1029	1007	1004
Supply	1185	1169	1189	1174	1218	1231	1230
Utilization	989	981	984	974	991	1005	1005
Trade	133	122	125	125	128	126	126
Ending Stocks	196	188	205	200	224	223	220

RICE (milled)	million tonnes				FAO-AMIS		
	USDA		IGC		2014/15		2015/16
	2014/15 est.	2015/16 f'cast 9-Oct	2014/15 est.	2015/16 f'cast 29-Oct	2014/15 est.	2015/16 f'cast 8-Oct	2015/16 f'cast 5-Nov
Production	479	474	478	474	494	493	491
Supply	586	576	590	581	665	663	662
Utilization	485	488	483	487	493	500	499
Trade	42.8	41.5	42.1	41.5	44.0	45.0	45.2
Ending Stocks	102	88	107	94	171	164	165

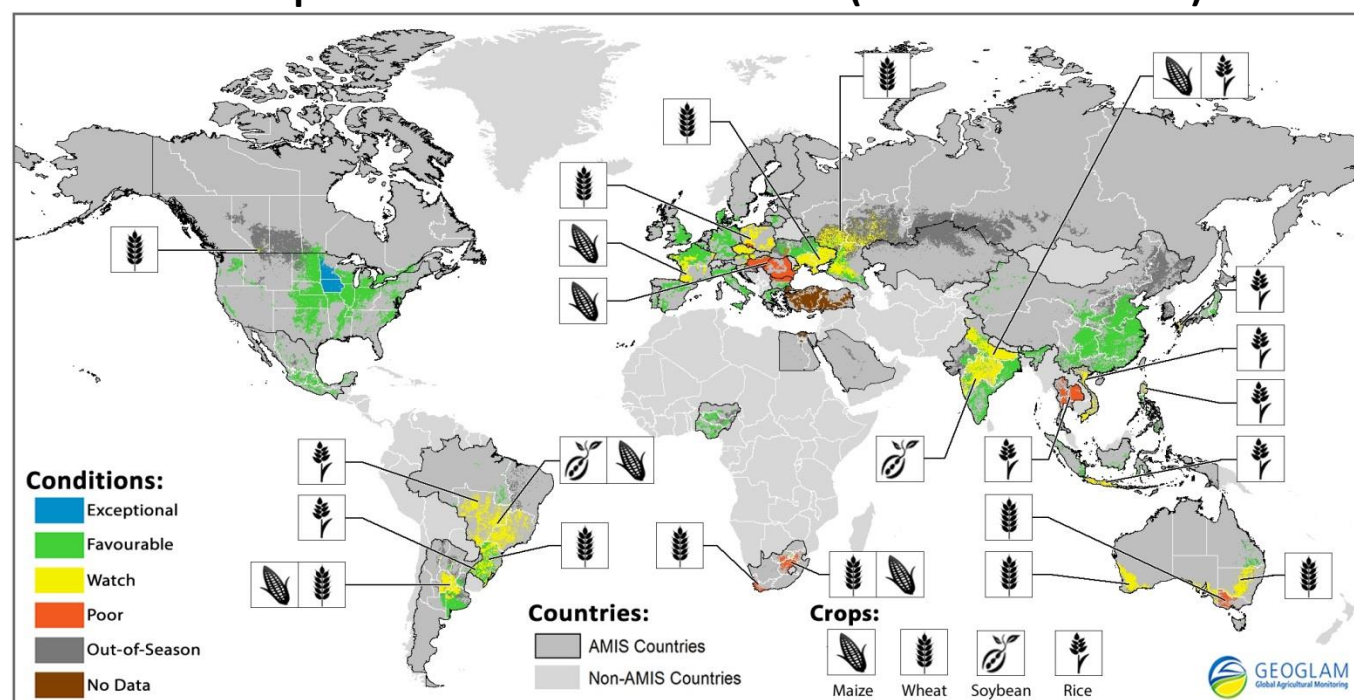
SOYBEANS	million tonnes				FAO-AMIS		
	USDA		IGC		2014/15		2015/16
	2014/15 est.	2015/16 f'cast 9-Oct	2014/15 est.	2015/16 f'cast 29-Oct	2014/15 est.	2015/16 f'cast 8-Oct	2015/16 f'cast 5-Nov
Production	319	320	321	319	320	318	319
Supply	382	398	353	366	352	366	367
Utilization	298	310	306	317	304	315	317
Trade	126	127	125	126	125	125	126
Ending Stocks	78	85	47	49	48	52	51

- Wheat production in 2015 revised up on higher estimate for the EU more than offsetting lower forecasts for Australia and the US.
 - Utilization in 2015/16 to expand by 2 percent, sustained by increases in food consumption and animal feed usage.
 - Trade in 2015/16 (July/June) to contract on reduced import demand from several countries, most notably Iran, Morocco, Thailand and Turkey.
 - Stocks (ending in 2016) raised further, now at 2.8 percent above their already large opening level and the highest in fourteen years.
-
- Maize production to contract more than it was anticipated in October, reflecting lower prospects in India, the US and Ukraine.
 - Utilization in 2015/16 to increase by 1.4 percent y/y, well below the pace of growth in the previous two seasons.
 - Trade in 2015/16 (July/June) to decline, with lower shipments from Argentina, EU, Ukraine and the US more than offsetting bigger sales from Brazil and Russia.
 - Stocks (ending in 2016) reduced since last month, but still forecast at near record levels.
-
- Rice production in 2015 curtailed, mainly on deteriorating prospects in Thailand, and now suggesting a 1 percent decline from 2014.
 - Utilization in 2015/16 revised down slightly, but still predicted to grow by 1.2 percent y/y.
 - Trade in calendar 2016 raised somewhat, on larger anticipated imports by China, Colombia, the Philippines and Nigeria.
 - Stocks (ending in 2016) raised since October, but still foreseen to shrink y/y, with much of the contraction affecting major exporting countries.
-
- Soybean 2015/16 production raised by 1 million tonnes, with downward revisions for the US and Russian Federation more than offset by higher forecasts for Brazil and the EU.
 - Utilization seen expanding by only 4 percent in 2015/16 (compared to 8 percent last season), reflecting reduced growth in several countries, especially US and China.
 - Trade forecast for 2015/16 revised upwards, with higher shipments from Brazil and Argentina more than offsetting a lower US export forecast.
 - Stocks (2015/16 carry-out) now projected 6.7 percent above the record 2014/15 level.

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Crop Monitor

Crop Conditions in AMIS countries (as of October 28th)



Crop condition map synthesizing information for all four AMIS crops as of October 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Highlights

Wheat - In the northern hemisphere the spring wheat season is complete and planting of winter wheat is ongoing under mostly favourable conditions with the exception of the Russian Federation and Ukraine where there is concern over dry conditions. In the southern hemisphere, conditions remain mixed. In Australia, conditions deteriorated due to lack of rains. In Argentina, conditions are generally favourable and in Brazil, mixed weather during all the season is expected to negatively impact yields. In South Africa, conditions are poor.

Maize - Conditions in the northern hemisphere remain mixed as the season nears its end. In the US, harvest is almost complete and yields are good. In the EU, conditions are largely unfavourable due to the earlier summer heatwave and lack of rain. In Ukraine, yields are expected to be down due to earlier dry and hot weather. In India there is some concern due to dryness. In Mexico, Canada, the Russian Federation and Nigeria, conditions are mostly favourable. In the southern hemisphere planting is ongoing and conditions are mostly favourable though there are some areas of concern. In Brazil, there is concern over irregular rains. In Argentina, planting is progressing slowly due to low soil moisture and there is some concern over low temperatures. In South Africa, there are concerns over hot and dry conditions.

Rice - Conditions remain mixed in part due to El Niño. In India, conditions are mixed due to dryness and in Thailand, conditions are poor due to a lack of precipitation, shortage of irrigation water and pests. In the Philippines there is some concern due to recent typhoons. In China, Viet Nam, Indonesia, the US and Argentina conditions are generally favourable. In Brazil, conditions are mixed.

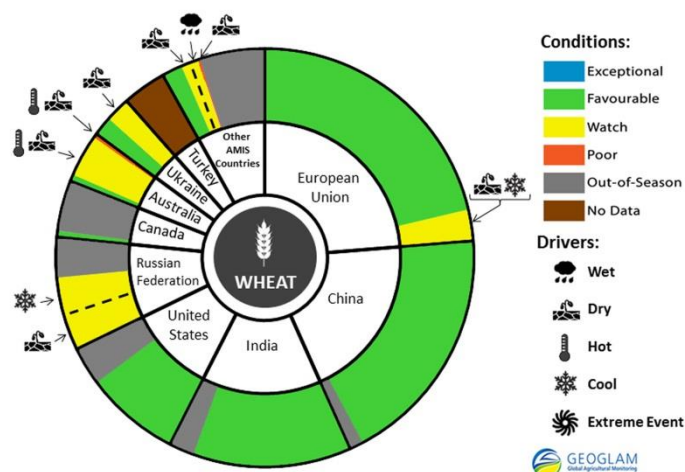
Soybeans - Conditions in the northern hemisphere remain mostly favourable as harvest begins. In the US, near record yields are expected. In India, there is some concern due to moisture stress. In China and Canada, conditions are generally favourable. In the southern hemisphere, conditions are mostly favourable. In Brazil, conditions are generally favourable as planting progresses, though there is limited concern due to irregular rainfall. In Nigeria, average to above average production is expected.

El Niño update

The current strong El Niño is forecast to peak around the beginning of 2016, to remain strong throughout the southern hemisphere summer season, and to dissipate finally by mid-year. This portends a second year of drought in South Africa. Dry conditions are likewise expected to continue in Thailand, Viet Nam, the Philippines, and Indonesia. September rainfall was below average for most of Australia, and El Niño brings suppressed spring (October-December) rainfall in the eastern half of the country. In contrast, abundant rainfall is forecast for the summer growing season of southern Brazil and northeastern Argentina. Wetter than average conditions are also forecast for the winter precipitation season in the high mountain areas of India, Pakistan, Afghanistan, and Tajikistan, building up snow pack for the 2016 summer irrigation season. In North America, expectations are for warmer than average temperatures across Canada and the northern US, and wetter than average conditions across the southern half of the US – nurturing hope for drought relief in California. Meanwhile, humanitarian agencies are mobilizing to deal with major El Niño food security impacts due to drought in Guatemala, Haiti, Malawi, and Ethiopia.

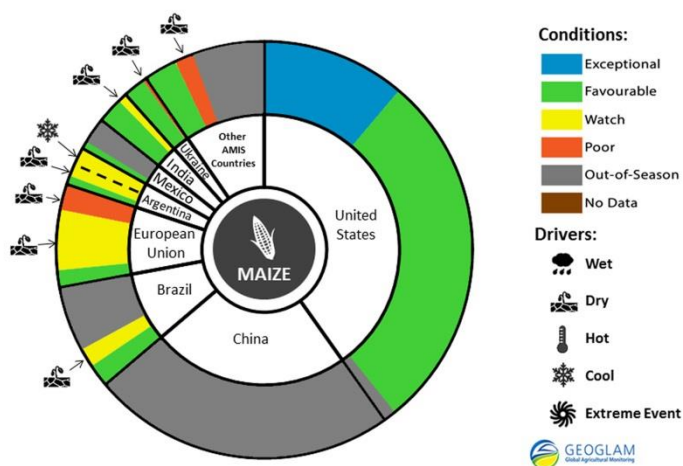
Wheat overall conditions in the northern hemisphere are favourable at this early stage of the winter wheat season. In the **US**, winter wheat planting is nearly complete and the majority of the crop emerged under favourable conditions. In the **EU**, planting continues for all regions under favourable conditions except for Poland where dry and cold weather have hampered germination. In **China**, winter wheat planting continues and conditions are mostly favourable except some localized dry areas. In the **Russian Federation**, spring wheat harvest is complete and winter wheat planting continues under mixed conditions due to a colder-than-usual month and dry conditions that are affecting southern regions. In **Canada**, a warm and dry autumn has kept spring wheat harvest on schedule and harvest is complete. However, the dry conditions are creating a mild concern over germination of winter wheat but there is no evidence of poor germination yet. In **India**, field preparations have begun. In **Ukraine**, there is concern over winter wheat in the southern and eastern regions due to dryness, which has led to a decrease in planted area. However, conditions have improved in north and central regions. In the *southern hemisphere*, conditions remain mixed. In **Australia**, conditions deteriorated due to unfavourable spring conditions and a lack of timely rainfall last month attributed to El Niño. In **Argentina**, harvest has begun in the north and conditions are generally favourable in the primary production regions. However, there is concern over dryness in Cordoba, Santa Fe and northern growing regions. In **Brazil**, harvest is underway and the mixed weather during all season (wet followed by dryness), localized frosts in September and excessive rainfall in October will impact production. In **South Africa**, harvest has begun and conditions are poor due to below normal rainfall in the main production region and therefore overall yields are expected to be down.

Wheat conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box on page 4.

Maize conditions for AMIS countries as of October 28th.



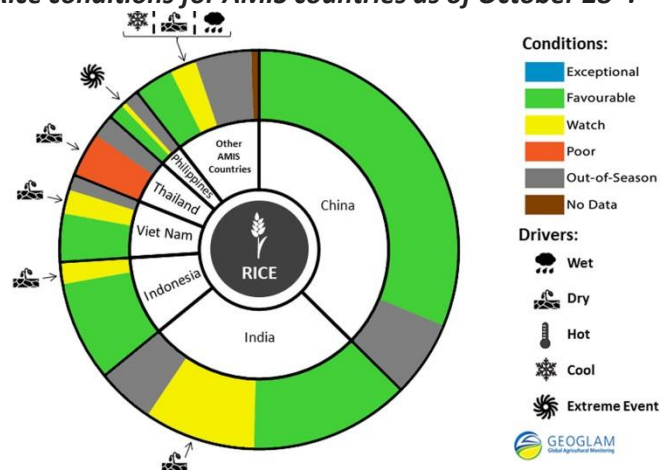
For detailed description of the pie chart please see box on page 4.

result of sufficient water availability. In **Canada**, conditions are mostly favourable and harvest is proceeding on schedule. In the **Russian Federation**, harvest is ongoing and conditions are favourable. In **Nigeria**, conditions are favourable. In the *southern hemisphere*, conditions are mostly favourable at this early stage of the season. In **Brazil**, planting of the spring-planted crop (the smaller producing season) is ongoing in most regions and conditions are mostly favourable through in central regions there are some delays in planting due to irregular rainfall, which is expected to increase in coming weeks and in Rio Grande do Sul there is excess rainfall. In **Argentina**, planting is progressing slowly due to low soil moisture though the optimal planting window has not yet passed. In cases where the crop has been planted, crop development is delayed due to low temperatures. In **South Africa**, planting continues and there are concerns over hot and dry conditions in the central eastern provinces, which have delayed planting.

Maize conditions in the *northern hemisphere* are mixed as harvest begins. In the **US**, harvest is almost complete. In general, yields are very good, though not at record levels. In **Ukraine**, harvest is ongoing and yields are expected to be down due to the persistent dryness and high temperatures in central and western regions in previous months. In the **EU**, harvest has begun, though areas in south-east faced abundant rain, which is slowing harvest. Conditions are largely unfavourable and production is expected to be below the 5 year average due to the heat wave and lack of rainfall in central and eastern Europe. In **India**, conditions are mostly favourable though there is still some concern over dry conditions in northern regions. In **Mexico**, conditions for the spring-planted cycle are generally favourable as a

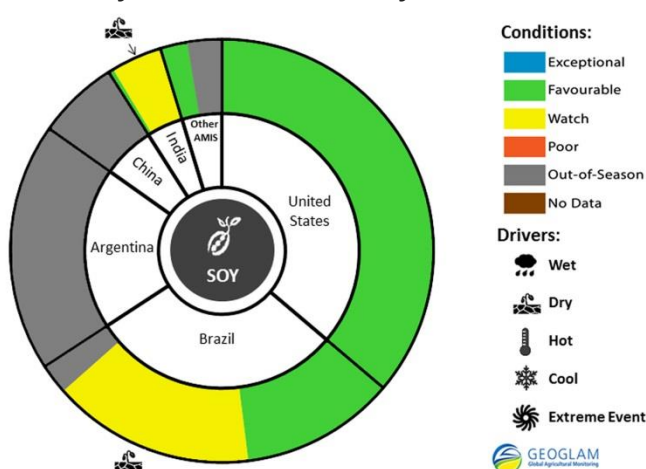
Rice conditions remain mixed in part due to the current El Niño affecting large parts of Asia. In **China**, conditions are generally favourable except for localized areas of concern in Hubei due to sheath blight. In **India**, conditions are mixed due to dryness in the northern and central regions. In **Indonesia**, the dry season crop is in generally favourable condition except for in southern areas where dry conditions are expected to continue into December due to El Niño. In **Thailand**, conditions are poor as a result of a lack of precipitation and shortage of irrigation water attributed to El Niño. Also, pests in the northern and central regions are causing concern and overall yields are expected to be down. In **Viet Nam**, harvest has begun in the south for the summer-autumn wet season and conditions are generally favourable. The autumn-winter planted wet season crop is also in generally favourable condition in the Mekong Delta though transplanting is delayed to due dry conditions. In the **Philippines**, harvest of the wet season crop is almost complete. Crop damage caused by several typhoons has been recorded in the northern regions, which may result in lower yields. Overall, water availability is sufficient and growing conditions are favourable. In the **US**, production is close to average. In **Brazil**, conditions are mixed due to excessive rainfall in the southern (main producing) region, which is delaying planting, and dry conditions in the central-west and southeast regions, where planting has just begun. In **Argentina**, planting is progressing normally and conditions are generally favourable.

Rice conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of October 28th.



For detailed description of the pie chart please see box below.

Soybeans conditions in the northern hemisphere remain mostly favourable as harvest begins. In the **US**, harvest is nearly complete and near record yields are expected. In **Canada**, conditions are generally favourable and harvest is proceeding without delay. In **India**, conditions are mixed, as there is concern over the central region due to moisture stress. In the *southern hemisphere*, conditions are generally favourable. In **Brazil**, planting has begun in most regions and conditions are mostly favourable though there are some planting delays in central regions due to irregular rainfall, which is expected to increase in coming weeks and there is some concern in Rio Grande do Sul due to excess rainfall. In **Nigeria**, harvest is in progress and average to above average production is expected.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the "Other AMIS Countries" category. The proportion within each national slice is coloured according to the crop conditions within a specific growing area; grey indicates that the respective area is out of season. Sections within each slide are weighted by the sub-national production statistics (5-year average) of the respective country. The section within each national slice also accounts for multiple cropping seasons (i.e. spring and winter wheat). When conditions are other than 'favourable', icons are added that provide information on the key climatic drivers affecting conditions.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA/FAO crop calendars.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org.

For information on country coverage and criteria: <http://geoglam-crop-monitor.org/pages/about.php?target=approach>

For more information regarding the new crop monitor and pie charts: <http://geoglam-crop-monitor.org/pages/about.php?target=maps-charts>

Policy Developments

WHEAT

- On 10 October, **China** announced that the 2016 minimum purchase price for wheat would be maintained at CNY 2,360 (USD 371).
- On 19 October, **India** increased the customs duty on wheat imports from 10 to 25 percent. The new duty will remain in force until 31 March 2016.
- On 5 October, the **Russian Federation** increased intervention prices for milling wheat for the 2015 crop. This follows the decrease compared to 2014 prices that entered into force in July 2015. A single price will apply in all federal districts irrespective of origin, unlike previous practice. The intervention price for 3rd class wheat was set at RUB 10,900 (USD 176) per tonne for all origins (compared to RUB 9,500 to 9,700 per tonne), 4th class at RUB 10,400 (USD 168) per tonne (compared to RUB 8,700 to 8,900 per tonne previously), 5th class feed quality wheat at RUB 8,800 (USD 142) per tonne (compared to RUB 8,400 to 8,500 previously).
- On 25 September, **South Africa** raised its wheat import tariff from ZAR 510.60 to ZAR 911.20 (USD 66.70) per tonne, in terms of the existing variable tariff formula. This is the fifth consecutive change since October 2014.

MAIZE

- Several changes are under consideration in **China**. The support price for maize may be reduced by 10 percent and subsidies granted to processors for the use of domestically-produced maize, whether sourced from the new crop or from existing state reserves between October to December.
- The intervention price of maize in the **Russian Federation** was maintained at RUB 6,900 (USD 111.29) per tonne. This confirms a 23.2 percentage increase compared to 2014 prices that entered into force in July 2015.

RICE

- On 9 October, **Nigeria** abolished a ban on land imports of rice, which had been maintained since 7 May 2013.
- The **Republic of Korea** increased the procurement volume of its public stockholding scheme for rice by 200,000 tons. The original plan that was announced in early September called for 360 000 tonnes, and 30,000 tonnes to be pledged to the ASEAN plus Three Emergency Rice Reserve. A volume of 367,000 and 640,000 had been procured in 2013 and 2014 respectively. The Government will also provide loans to private millers at subsidized rates to facilitate rice procurement. A fund of KRW 200 billion (USD 175 million) has been setup to this purpose, co-funded in equal parts with National Agricultural Cooperative Federation.
- Thailand** partly cancelled preliminary sales made in the auction of rice from government stocks conducted on 29 September, 2015. Sales of a volume of nearly 350,000 tonnes were cancelled while the sale of 100,000 tonnes was maintained.

SOYBEANS

- On 5 October, **Argentina** announced that Verdeca's HB4 stress tolerant soybeans had completed the regulatory approval process.

BIOFUELS

- On 14 October, **Brazil** authorized the sale and voluntary use of 20 percent biodiesel blends for road use and 30 percent for rail, agricultural and industrial uses. The mandatory biodiesel blending requirement is of 7 percent.

ACROSS THE BOARD

- On 5 October, six AMIS participating countries; **Australia, Canada, Japan, Mexico, US** and **Viet Nam**, together with Chile, Brunei, Malaysia, New Zealand, Peru and Singapore reached an agreement on the Trans-Pacific Partnership. The Partnership contemplates preferential access for agricultural and agri-food products. However full details are yet to be disclosed. The agreement will enter into force when it is ratified.
- On 29 September, the tariff rate quotas for wheat, maize and rice in **China** for 2016 were announced at levels unchanged from 2015.
- On 28 October, the European Parliament rejected a draft law enabling **EU** member states to restrict or prohibit the sale and use of genetically modified food and feed on their territory. Several EU member states have announced plans to ban or limit the cultivation of EU approved GM crops, as foreseen in a law entered into force in April 2015.
- In the **EU**, progress was made in the preparatory steps for the Markets in Financial Instruments Directive (MiFID II) that would come into force in 2017. The current draft mentions agricultural commodities. The Draft Regulatory and Implementing Technical Standards MiFID II/MiFIR was submitted for endorsement to the Commission on 28 September 2015. The Commission has three months to decide whether to endorse the technical standards. Once endorsed, the European Parliament and the Council will have an objection period.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct 2015 Average*	% Change	
		M/M	Y/Y
GOI	189	+ 1.3%	- 14.1%
Wheat	175	+ 3.1%	- 20.6%
Maize	177	+ 1.0%	- 3.9%
Rice	151	+ 0.8%	- 15.0%
Soybeans	183	+ 0.1%	- 14.2%

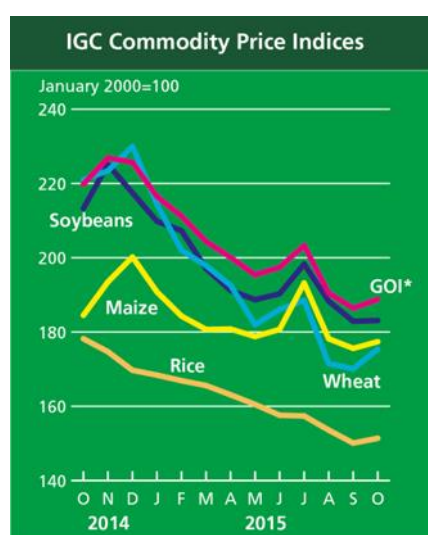
*Jan 2000=100, derived from daily export quotations

Wheat: Concerns about unfavourable dryness for crops in some areas triggered gains in export prices in early October. Concerns mainly centred on prospects for Australia's 2015/16 harvest as well as less than ideal conditions for 2016/17 planting in the US, Russia and Ukraine. Worries eased in the second part of the month following reports of beneficial rains in the affected regions, with the focus again turning to heavy global supplies and strong competition for the limited amount of export business. However, recent rainfall amounts failed to entirely relieve the crop concerns and prices posted another rise towards the end of the month.

Maize: The IGC GOI maize sub-Index increased by an average one percent m/m in October, with firmer export quotations in the US and South America compensating for slight losses in the Black Sea region. US prices averaged two percent more than in September, with gains mainly tied to a slowdown in producer selling. With many farmers opting to store freshly-cut maize, cash markets strengthened as feed manufacturers and ethanol producers sought to secure new crop supplies. Despite mostly routine export demand, US Gulf premiums were also firmer. Quotations in Brazil increased on support from strong buying interest and slower country movement. Despite Ukraine's much smaller surplus this year, average Black Sea prices were slightly weaker as exporters looked to secure fresh sales.

Rice: Asian white and parboiled rice markets were mixed during October. Against the backdrop of tightening export availabilities, reports of large purchases by some of Asia's key buyers, including Indonesia, buoyed sentiment in Thailand and Viet Nam. In the Philippines, where Typhoon Koppu resulted in heavy rains and flooding in rice growing areas prior to harvesting, the National Food Authority announced it expected to enter the world market for at least one million tonnes in the near future. Elsewhere, there were few fresh developments in South Asia, with FOB values in India steady to slightly lower. Overall, the IGC GOI rice sub-Index posted a net gain of nearly one percentage, the first rise in 14 months.

Soybeans: The IGC GOI soybeans sub-Index was fractionally firmer in October. US Gulf export quotations were buoyed by signs of stronger international demand and initial worries about seeding weather in South America, but increases were trimmed by seasonal Midwest harvest pressure. Despite gains in the value of the domestic currency, FOB values in Brazil were weighed by tentative prospects for a record planted area. In Argentina, where activity was generally light, export prices were underpinned by reluctant farmer sales and gains in the US market.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)						
2014	October	219.8	221.0	184.5	178.2	213.3
	November	226.9	223.4	193.5	174.7	225.1
	December	225.7	230.0	200.2	169.7	217.5
2015	January	216.5	214.4	190.8	168.4	209.8
	February	211.2	202.0	184.3	166.9	207.3
	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1

*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices - nearby

	Oct 2015 Average	% Change	
		M/M	Y/Y
Wheat	186	+4.3%	-0.9%
Maize	151	+2.5%	+9.6%
Rice	278	-0.2%	+1.1%
Soybeans	327	+1.2%	-7.6%

Source: CME – USD per tonne

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Oct 2015	Sep 2015	Oct 2014
Wheat	25.4%	27.4%	23.0%
Maize	21.3%	28.4%	27.7%
Rice	20.4%	23.1%	13.2%
Soybeans	17.7%	31.8%	34.7%

Futures Prices

Prices for wheat, maize and soybeans increased slightly m/m in an overall subdued environment and mixed market signals. Wheat prices rose on reports of deteriorating conditions for winter wheat in the Russian Federation and Ukraine and to a lesser extent in the US, while US export demand remained sluggish. Maize and soybeans rose slightly as harvest proceeded normally and maize exports lagged behind last year's shipments. Rice prices, which had risen for five consecutive months on declining domestic and global stocks-to-use ratios, fell by USD 30 per tonne from their peak in early October erasing last month's gains.

Volumes and Volatility

Volumes fell for wheat and maize m/m by 18 and 13 percent and rose for soybeans by 32 percent. Volumes for the three commodities were lower y/y. Both Historical and Implied Volatility declined m/m for all three commodities, exhibiting levels from the upper teens to the mid-twenties.

Basis levels

Basis levels for maize and soybeans rose to unseasonably high levels, especially in the eastern growing region of the US where production was lower than the previous crop year. Despite heavy harvesting, basis levels were posted at premiums to futures in many areas of the mid-section of the US, although levels remained negative in western states such as Kansas or Nebraska. The wheat basis was mixed, reflecting deep discounts along the river stations (minus USD 33 per tonne at St. Louis) and small premiums to futures close the flour mills around the Great Lakes region. The US Department of Transportation reported that barge freight levels were 20 – 30 percent lower than last year despite low water levels on the Upper Mississippi resulting in load restrictions.

Forward curves

Forward curves for wheat, maize and soybeans exhibited a tightening of the nearby month against deferred, reflecting the high basis levels in the three commodities. In soybeans, the November price rose to the January price level, indicating the likelihood of sparse deliveries on the November contract, despite the near completion of harvest. Wheat, and to a lesser extent maize, also showed a narrowing between nearby December and next deferred contract – March 2016. Although all three commodities are in ample supply, as evidenced by the upward sloping curves, producer holding in a low price environment is causing the front month spreads to narrow.

Investment flows

Managed money reduced its net long position in maize somewhat and increased its net short position in wheat m/m. In soybeans, managed money reversed a modest net short position to a small net long position. According to CFTC, the notional amount (total USD value of the underlying commodities) invested in passive commodities instruments such as commodity index funds and exchange traded funds has remained about unchanged over the last three months, totaling USD 232 bn in both long (USD 186 bn) and short (USD 46 bn) strategies.

Monthly US Ethanol Update

- **Ethanol prices** moved higher in October despite flat to falling oil and RBOB gasoline prices throughout the month. At the close of October nearby futures markets showed a significant premium for ethanol over the RBOB contract. While not unheard of, such a premium has been rare in the last 5 years.
- **DDGS prices** fell throughout the month of October even as maize prices were flat to higher over the month. This fall in DDGS prices offset gains in ethanol prices leaving ethanol production margins just below break-even levels.
- US biofuel markets are awaiting final **Renewable Fuel Standard** mandate levels for 2014-2016 and additionally biodiesel for 2017. The EPA indicated in its earlier proposal, an expectation that a final rule would be released in November.

Spot prices			
IA, NE and IL/eastern corn belt average	Oct 2015*	Sep 2015	Oct 2014
Maize price (USD per tonne)	144.51	142.24	128.78
DDGs (USD per tonne)	129.86	150.21	115.63
Ethanol price (USD per gallon)	1.49	1.44	1.62
Nearby futures prices			
CME, NYSE			
Ethanol (USD per gallon)	1.56	1.49	1.68
RBOB Gasoline (USD per gallon)	1.35	1.39	2.26
Ethanol/RBOB price ratio	115.6%	106.8%	74.2%
Ethanol margins			
IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.49	1.44	1.62
DDGs receipts	0.36	0.42	0.32
Maize costs	1.33	1.31	1.19
Other costs	0.55	0.55	0.55
Production margin	-0.03	-0.01	0.21
Ethanol production			
(million gallons)			
Monthly production total	1,246	1,208	1,203
Annualized production pace	14,676	14,692	14,163

Based on USDA data and private sources. * Estimated using available weekly data to date.

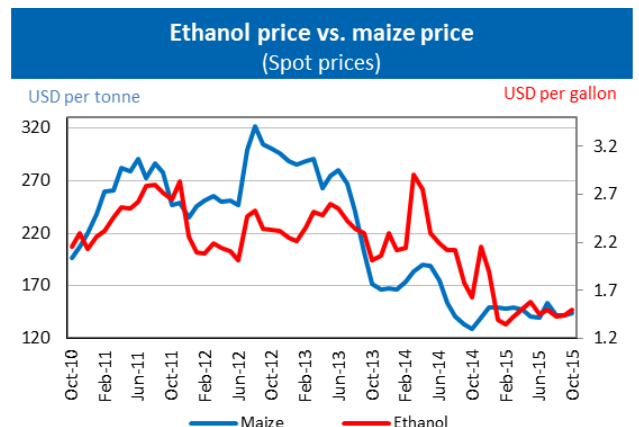
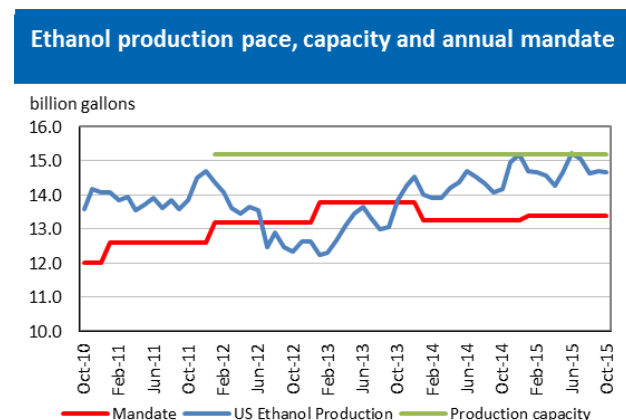
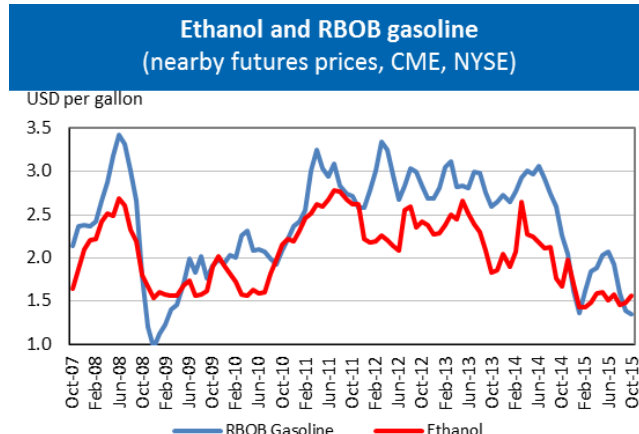
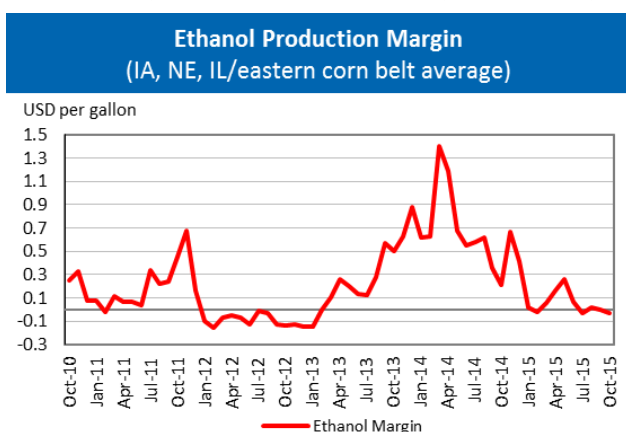


Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

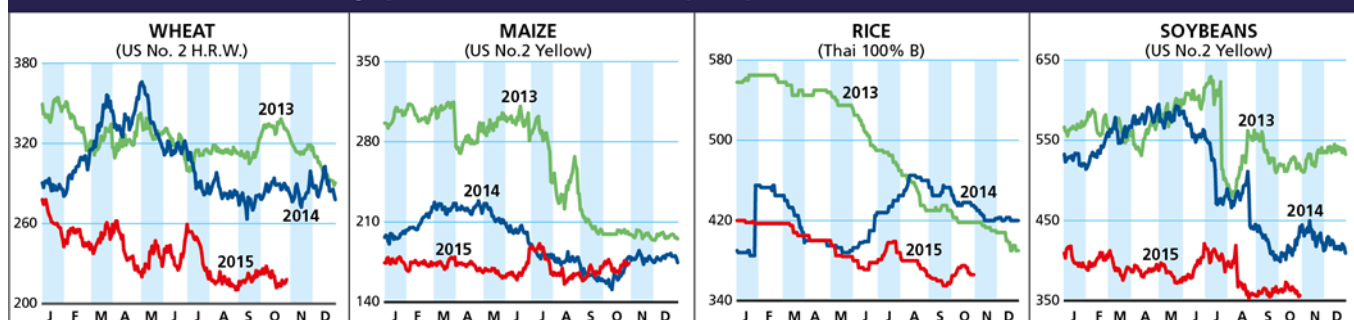
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

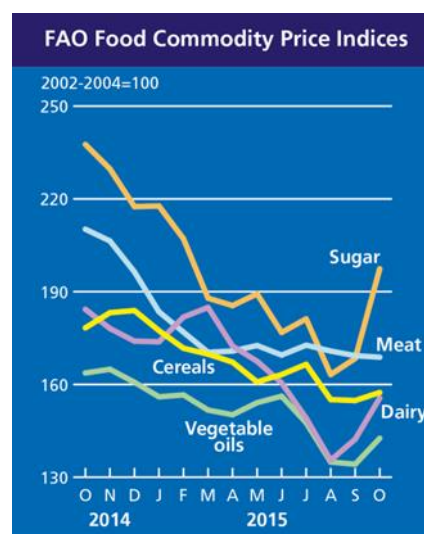
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2013-2015)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	02-Nov	215	218	222	287	-1.1%	-24.9%
Maize (US No. 2, Yellow)	02-Nov	171	176	173	180	-2.7%	-4.6%
Rice (Thai 100% B)	03-Nov	370	366	365	433	1.1%	-14.5%
Soybeans (US No. 2, Yellow)	02-Nov	354	360	360	438	-1.5%	-19.0%

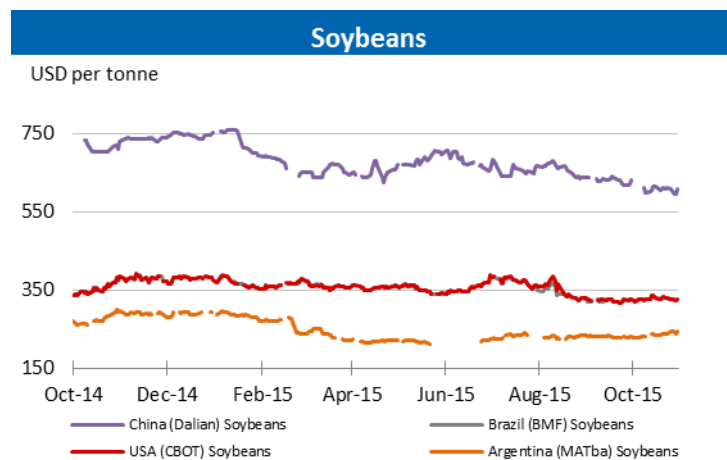
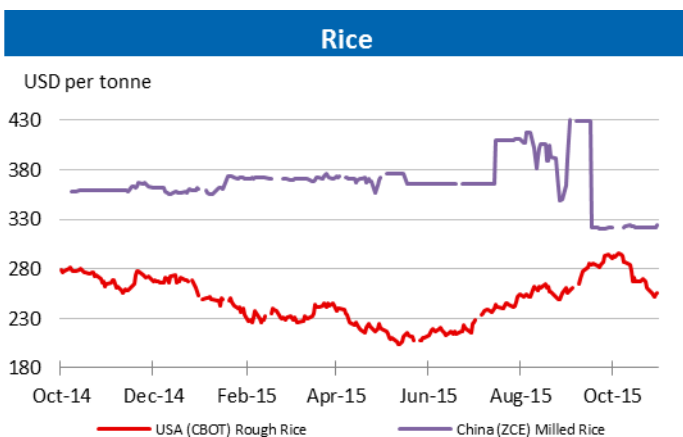
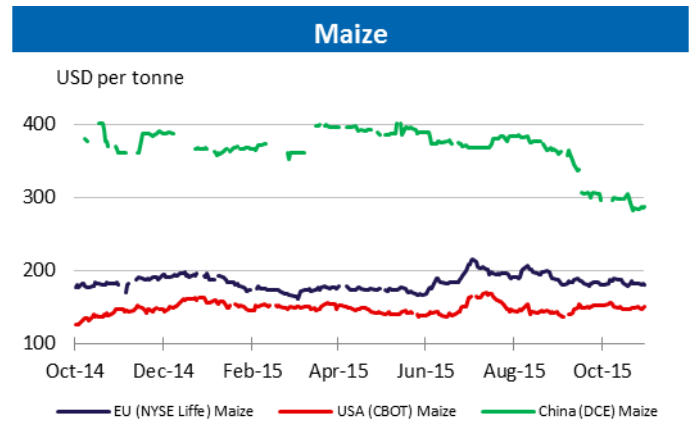
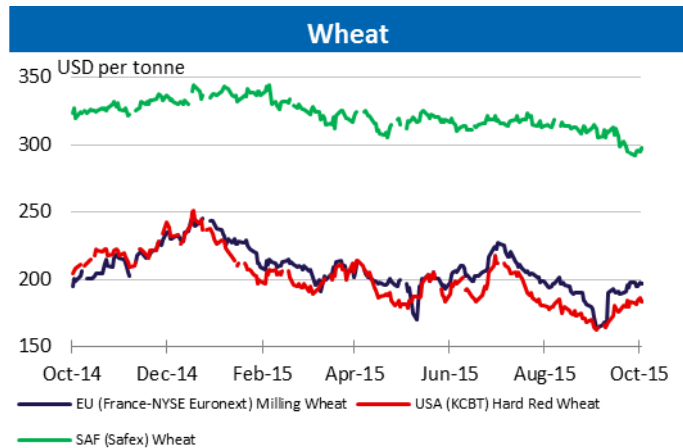


FAO food price indices

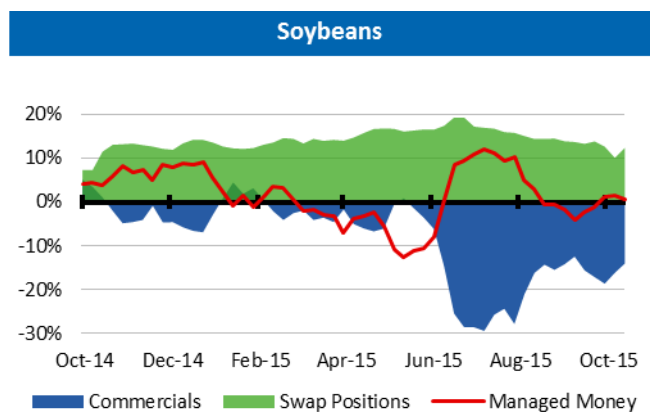
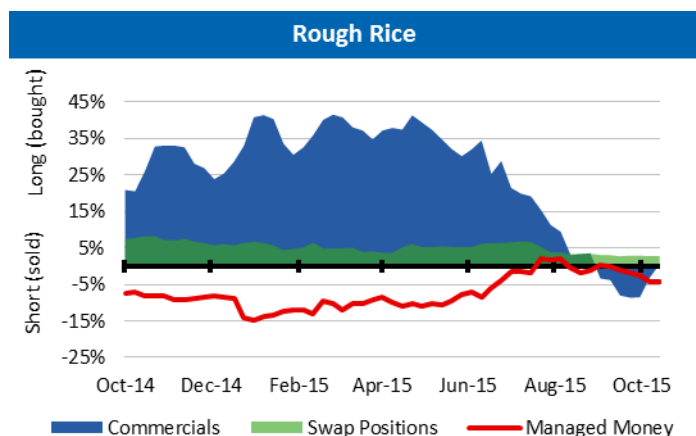
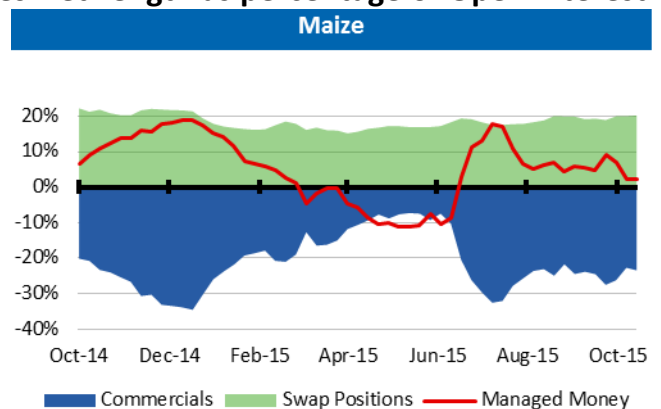
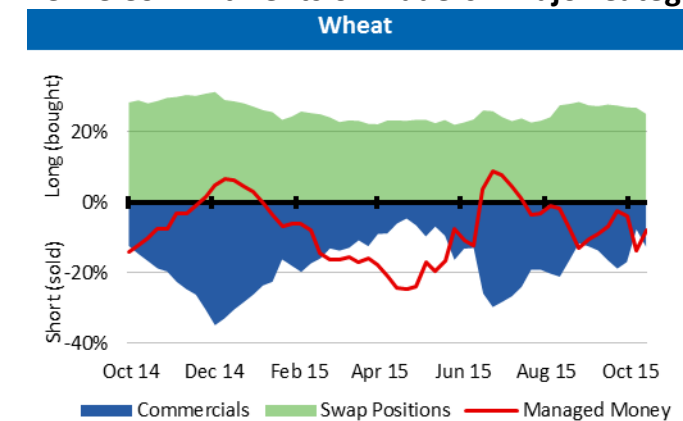
Food Price Index		Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)						
2014	October	192.7	210.2	178.3	163.7	237.6
	November	191.3	206.4	178.1	164.9	229.7
	December	185.8	196.4	174.0	160.7	217.5
2015	January	178.9	183.5	177.4	156.0	217.7
	February	175.8	176.9	171.7	156.6	207.1
	March	171.5	170.4	169.8	151.7	187.9
	April	168.4	170.8	167.2	150.2	185.5
	May	167.2	172.6	160.8	154.1	189.3
	June	164.9	169.5	163.2	156.2	176.8
	July	164.2	172.7	166.5	147.6	181.2
	August	155.0	170.8	155.1	134.9	163.2
	September	155.9	169.3	154.8	134.2	168.4
	October	162.0	168.8	157.4	142.6	197.4

Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

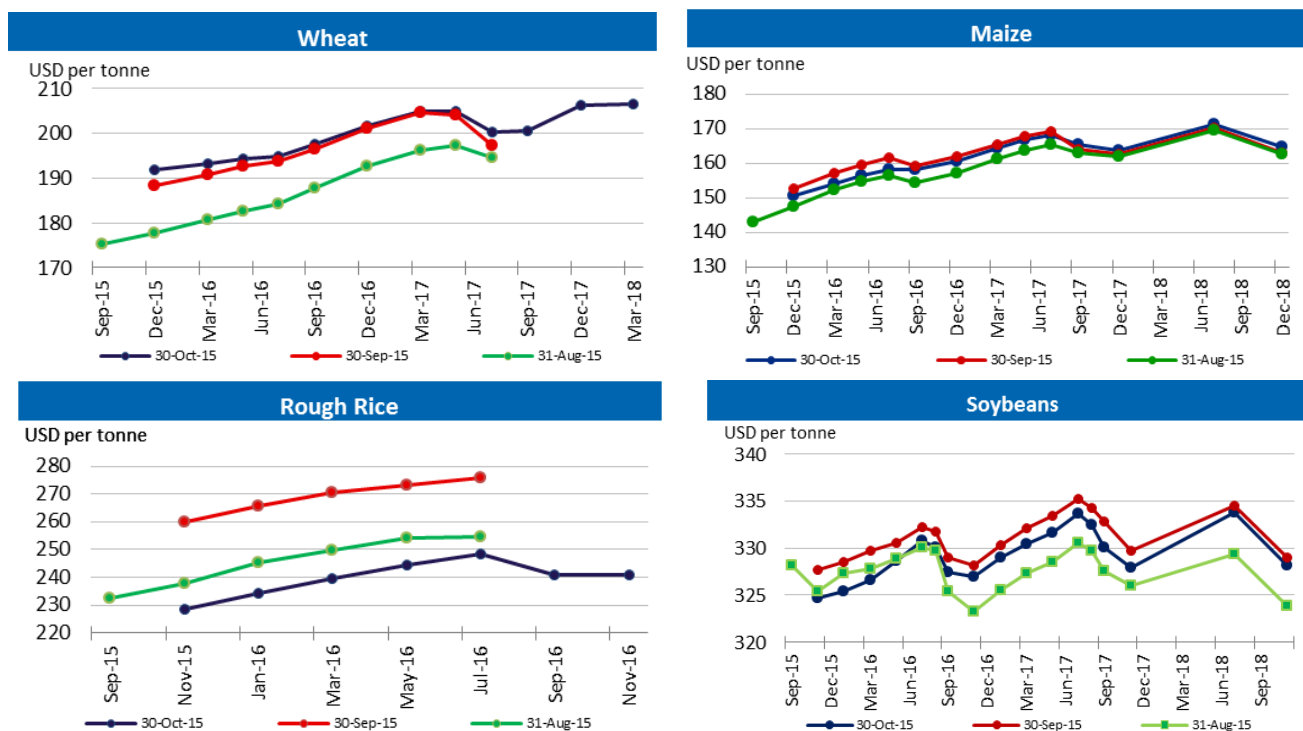


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

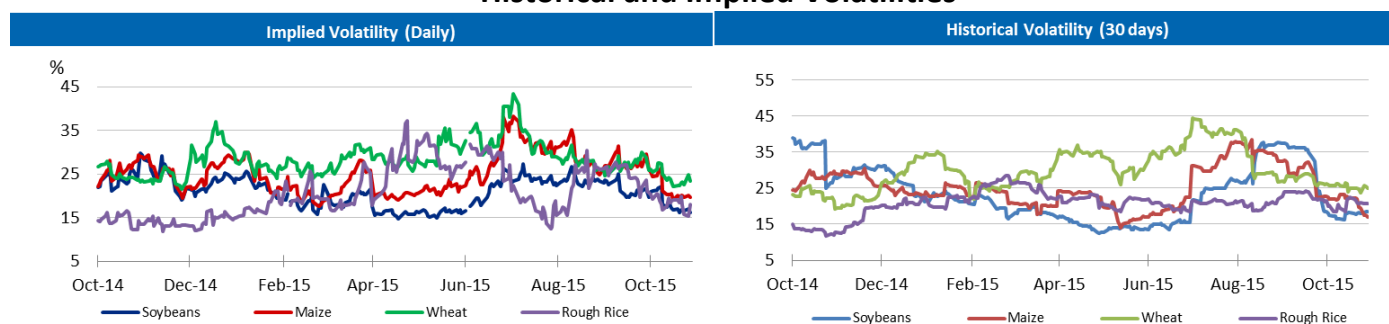


* Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15 est	2015/16 f'cast*
	thousand tonnes									
Maize Production	267,503	331,177	307,142	332,550	316,166	313,956	273,188	351,270	361,101	344,311
Ethanol Use	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,155	132,263	133,355
Yearly ethanol use change (%)	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.4%	1.6%	0.8%
As Production (%)	20%	23%	30%	35%	40.3%	40.5%	43.1%	37.1%	36.6%	38.7%

Source: WASDE-USDA. *9 October 2015

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: In general, ending stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

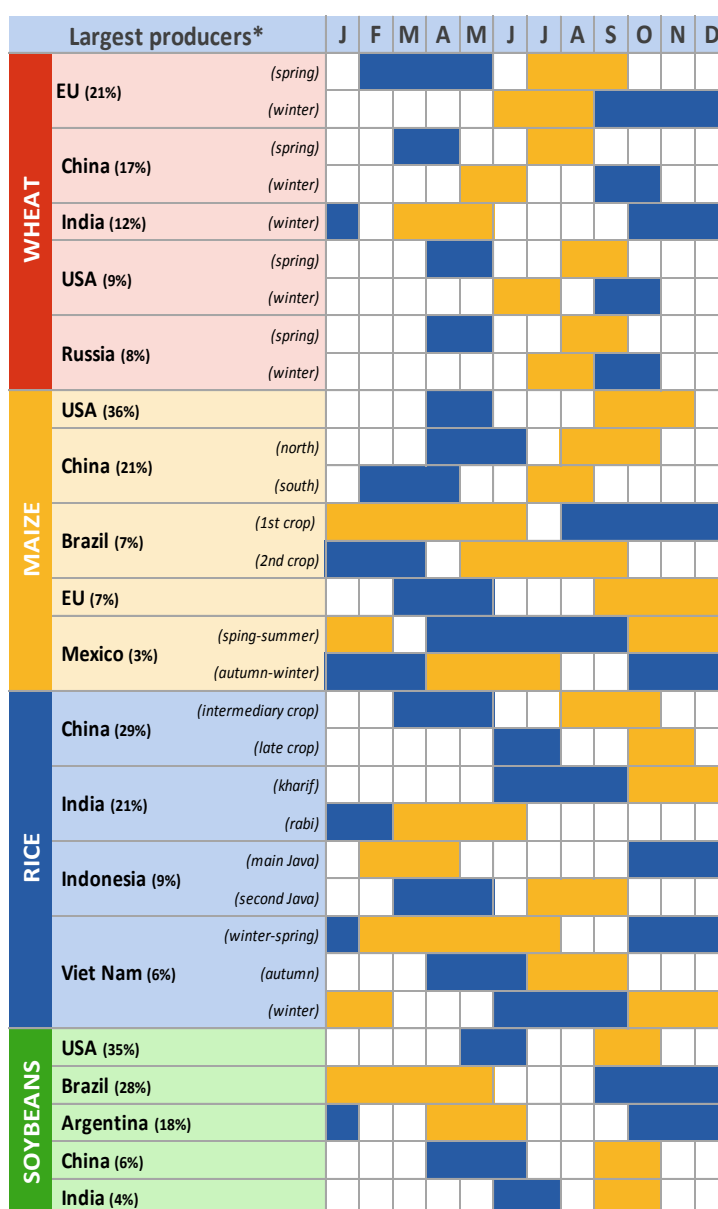
Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2015 Release Dates

05 February, 05 March, 02 April, 07 May, 04 June, 09 July, 10 September, 08 October, 05 November, **03 December**

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

■ Planting ■ Harvesting

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